Regulatory Notice — Supervisory Expectations for Mid-Size Financial Services Firms

Document ID: EX-01 | MERIDIAN FINANCIAL GROUP RESEARCH CORPUS | FICTIONAL — FOR HACKATHON USE ONLY

Purpose of this Notice

This notice sets out supervisory expectations for mid-size firms in the wealth, banking and institutional services sectors for the forthcoming supervisory cycle. It is addressed to boards and senior management function holders.

Priority Area One — Financial Crime Controls

Firms are expected to demonstrate that customer due diligence, enhanced due diligence for complex ownership structures, sanctions screening and transaction monitoring controls are effective in practice, not merely designed. Supervisors will place particular emphasis on the periodic tuning and testing of screening and monitoring systems, and on the adequacy of resourcing within the financial crime function. Where firms are expanding into higher-risk client segments, supervisors expect control capability to be demonstrably scaled in advance of growth.

Priority Area Two — Operational Resilience

Firms must have identified important business services, set impact tolerances, mapped the resources supporting each service including third parties, and completed scenario testing. Supervisors have observed that dependency mapping is the most commonly incomplete element and consider incomplete mapping to be a material shortcoming.

Priority Area Three — Third-Party and Outsourcing Risk

Firms are expected to maintain a complete register of material outsourcing arrangements, documented exit plans for all critical suppliers, contractual audit rights, and an assessment of concentration risk.

Priority Area Four — Consumer Outcomes

Firms must be able to evidence good outcomes for customers across the product lifecycle, including in respect of legacy products no longer actively sold.

Priority Area Five — Data and Cross-Border Transfers

Firms operating across multiple jurisdictions must evidence lawful transfer mechanisms, defined retention schedules, and control over data used in cloud environments.

Priority Area Six — Artificial Intelligence

Firms deploying artificial intelligence, including generative AI, are expected to maintain an inventory of AI systems, apply proportionate governance and model risk controls, evidence human oversight of material decisions, and assess the consumer and conduct implications of deployment. Supervisors have indicated that firms should not scale deployment ahead of establishing governance.